

COOPERATIVE SOCIETIES

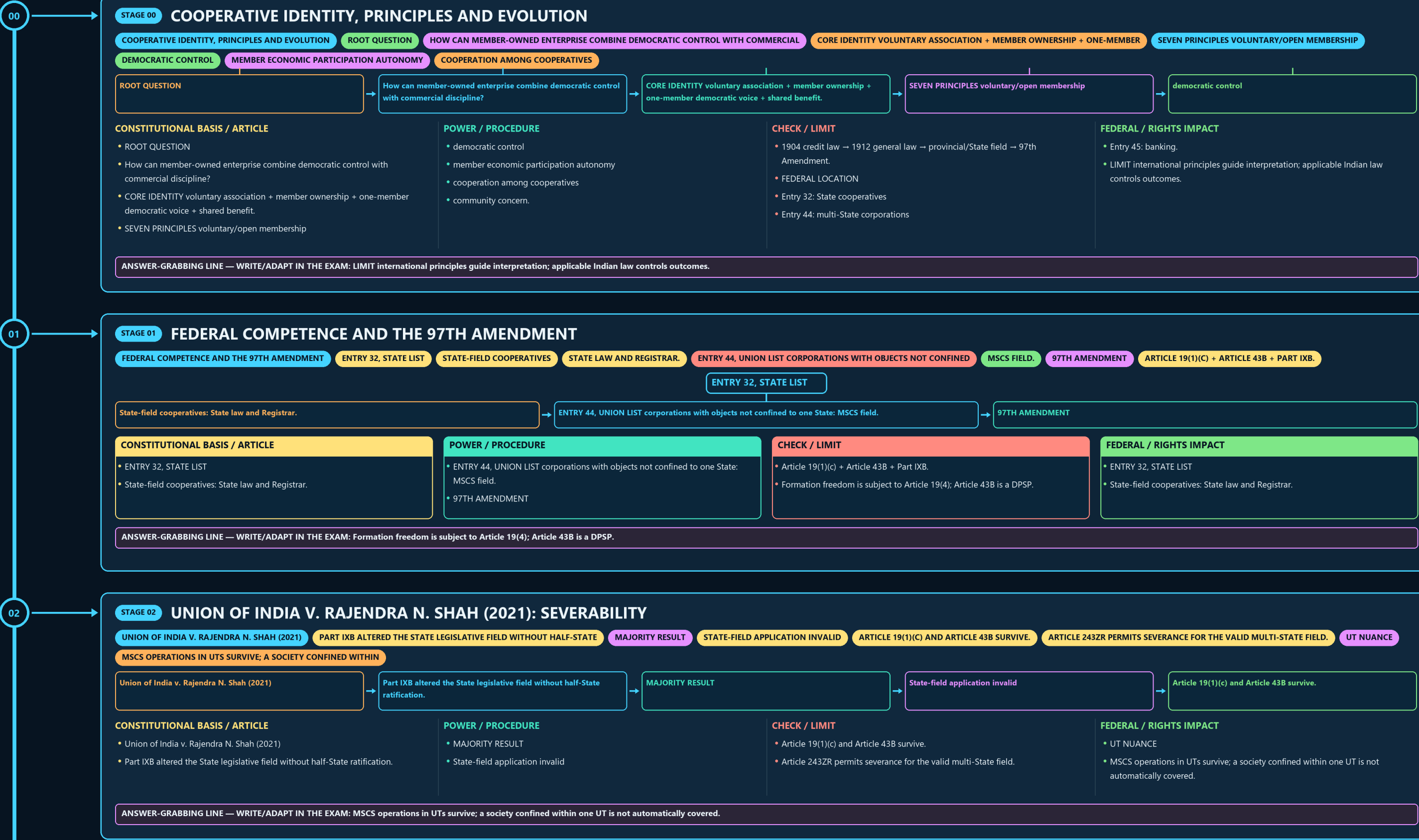
COOPERATIVE IDENTITY, PRINCIPLES AND → FEDERAL COMPETENCE AND THE → UNION OF INDIA V. → PART IXB BOARD AND → SUPERSESSON, AUDIT AND RETURNS → STATE SOCIETIES AND MULTI-STATE

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g3 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



02

STAGE 02

UNION OF INDIA V. RAJENDRA N. SHAH (2021): SEVERABILITY

UNION OF INDIA V. RAJENDRA N. SHAH (2021)

PART IXB ALTERED THE STATE LEGISLATIVE FIELD WITHOUT HALF-STATE

MAJORITY RESULT

STATE-FIELD APPLICATION INVALID

ARTICLE 19(1)(C) AND ARTICLE 43B SURVIVE.

ARTICLE 243ZR PERMITS SEVERANCE FOR THE VALID MULTI-STATE FIELD.

UT NUANCE

MSCS OPERATIONS IN UTS SURVIVE; A SOCIETY CONFINED WITHIN

Union of India v. Rajendra N. Shah (2021)

→

Part IXB altered the State legislative field without half-State ratification.

→

MAJORITY RESULT

→

State-field application invalid

→

Article 19(1)(c) and Article 43B survive.

CONSTITUTIONAL BASIS / ARTICLE

- Union of India v. Rajendra N. Shah (2021)
- Part IXB altered the State legislative field without half-State ratification.

POWER / PROCEDURE

- MAJORITY RESULT
- State-field application invalid

CHECK / LIMIT

- Article 19(1)(c) and Article 43B survive.
- Article 243ZR permits severance for the valid multi-State field.

FEDERAL / RIGHTS IMPACT

- UT NUANCE
- MSCS operations in UTs survive; a society confined within one UT is not automatically covered.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MSCS operations in UTs survive; a society confined within one UT is not automatically covered.

03

STAGE 03

PART IXB BOARD AND ELECTION DESIGN

PART IXB BOARD AND ELECTION DESIGN

243ZJ MAXIMUM TWENTY-ONE DIRECTORS

FIVE-YEAR TERM

CONDITIONAL RESERVED SEATS LIMITED EXPERT CO-OPTION

FUNCTIONAL DIRECTORS SEPARATELY TREATED.

243ZK ELECTION BEFORE TERM EXPIRY; VACANCY ELECTION WITHIN STATUTORY

THESE RULES NOW OPERATE ONLY IN THE CONSTITUTIONALLY VALID

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
243ZJ maximum twenty-one directors	conditional reserved seats limited expert co-option	243ZK election before term expiry; vacancy election within statutory period.	243ZJ maximum twenty-one directors
five-year term	functional directors separately treated.	These rules now operate only in the constitutionally valid multi-State field.	five-year term

CONSTITUTIONAL BASIS / ARTICLE

- 243ZJ maximum twenty-one directors
- five-year term

POWER / PROCEDURE

- conditional reserved seats limited expert co-option
- functional directors separately treated.

CHECK / LIMIT

- 243ZK election before term expiry; vacancy election within statutory period.
- These rules now operate only in the constitutionally valid multi-State field.

FEDERAL / RIGHTS IMPACT

- 243ZJ maximum twenty-one directors
- five-year term

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: These rules now operate only in the constitutionally valid multi-State field.

04

STAGE 04

SUPERSESSON, AUDIT AND RETURNS

SUPERSESSON, AUDIT AND RETURNS

243ZL LIMITED GROUNDS

ORDINARILY SIX MONTHS

BANKING COOPERATIVE CEILING DIFFERS.

NO SUPERSESSON WHERE NO GOVERNMENT SHARE, LOAN, AID OR

243ZM AUDIT WITHIN SIX MONTHS.

243ZN-243ZP MEETINGS, MEMBER INFORMATION AND RETURNS WITHIN STATUTORY CLOCKS.

243ZQ IDENTIFIES OFFENCE FAMILIES.

CONSTITUTIONAL BASIS / ARTICLE

- 243ZL limited grounds
- ordinarily six months

POWER / PROCEDURE

- banking cooperative ceiling differs.
- No supersession where no government share, loan, aid or guarantee.

CHECK / LIMIT

- 243ZM audit within six months.
- 243ZN-243ZP meetings, member information and returns within statutory clocks.

FEDERAL / RIGHTS IMPACT

- 243ZQ identifies offence families.
- 243ZL limited grounds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 243ZN-243ZP meetings, member information and returns within statutory clocks.

05

STAGE 05

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE-FIELD SOCIETY

ENTRY 32

STATE ACT/RULES/BYE-LAWS

STATE REGISTRAR.

MULTI-STATE COOPERATIVE SOCIETY

ENTRY 44

MSCS ACT 2002

Entry 32	State Act/rules/bye-laws	State Registrar.	
Entry 44	MSCS Act 2002	Central Registrar	surviving Part IXB field.

CONSTITUTIONAL BASIS / ARTICLE

- STATE-FIELD SOCIETY
- Entry 32
- State Act/rules/bye-laws

POWER / PROCEDURE

- State Registrar.
- MULTI-STATE COOPERATIVE SOCIETY
- Entry 44

CHECK / LIMIT

- MSCS Act 2002
- Central Registrar
- surviving Part IXB field.

FEDERAL / RIGHTS IMPACT

- TRAP operating in several districts is not the same as statutory multi-State status.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP operating in several districts is not the same as statutory multi-State status.

ordinarily six months

No supersession where no government share, loan, aid or guarantee.

243ZN-243ZP meetings, member information and returns within statutory clocks.

243ZL limited grounds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 243ZN-243ZP meetings, member information and returns within statutory clocks.

05

STAGE 05

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE-FIELD SOCIETY

ENTRY 32

STATE ACT/RULES/BYE-LAWS

STATE REGISTRAR.

MULTI-STATE COOPERATIVE SOCIETY

ENTRY 44

MSCS ACT 2002

Entry 32	State Act/rules/bye-laws	State Registrar.	
Entry 44	MSCS Act 2002	Central Registrar	surviving Part IXB field.
CONSTITUTIONAL BASIS / ARTICLE - STATE-FIELD SOCIETY - Entry 32 - State Act/rules/bye-laws	POWER / PROCEDURE - State Registrar. - MULTI-STATE COOPERATIVE SOCIETY - Entry 44	CHECK / LIMIT - MSCS Act 2002 - Central Registrar - surviving Part IXB field.	FEDERAL / RIGHTS IMPACT TRAP operating in several districts is not the same as statutory multi-State status.
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP operating in several districts is not the same as statutory multi-State status.			

06

STAGE 06

MSCS AMENDMENT 2023 INSTITUTIONS

MSCS AMENDMENT 2023 INSTITUTIONS

CO-OPERATIVE ELECTION AUTHORITY CONDUCTS BOARD ELECTIONS UNDER THE AMENDED

CO-OPERATIVE OMBUDSMAN MEMBER GRIEVANCE AND APPEAL FUNCTIONS.

CO-OPERATIVE INFORMATION OFFICER MEMBER INFORMATION ROUTE WITH REASONED RESPONSE.

OTHER CONTROLS CONCURRENT AUDIT

CONFLICT RULES

REHABILITATION, RECONSTRUCTION AND DEVELOPMENT FUND.

CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.

CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.

CO-OPERATIVE INFORMATION OFFICER member information route with reasoned response.

OTHER CONTROLS concurrent audit

CONSTITUTIONAL BASIS / ARTICLE - CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute. - CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.	POWER / PROCEDURE - CO-OPERATIVE INFORMATION OFFICER member information route with reasoned response. - OTHER CONTROLS concurrent audit	CHECK / LIMIT - conflict rules - rehabilitation, reconstruction and development fund.	FEDERAL / RIGHTS IMPACT - CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute. - CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OTHER CONTROLS concurrent audit conflict rules rehabilitation, reconstruction and development fund.			

07

STAGE 07

MINISTRY, CENTRAL REGISTRAR AND POLICY BOUNDARY

MINISTRY, CENTRAL REGISTRAR AND POLICY BOUNDARY

MINISTRY OF COOPERATION EXECUTIVE-POLICY COORDINATION; DOES NOT TRANSFER ENTRY

CENTRAL REGISTRAR REGISTRATION, REGULATION AND WINDING-UP FUNCTIONS UNDER THE

CRCS INSTITUTIONS

ELECTION AUTHORITY AND OMBUDSMAN PUBLISH CURRENT OFFICIAL PROCESSES.

USE DATED OFFICIAL DATA; DO NOT FREEZE DASHBOARD COUNTS.

MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.

CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.

CRCS INSTITUTIONS

Election Authority and Ombudsman publish current official processes.

CONSTITUTIONAL BASIS / ARTICLE - MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence. - CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.	POWER / PROCEDURE - CRCS INSTITUTIONS - Election Authority and Ombudsman publish current official processes.	CHECK / LIMIT - Use dated official data; do not freeze dashboard counts. - MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.	FEDERAL / RIGHTS IMPACT - CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act. - CRCS INSTITUTIONS
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Use dated official data; do not freeze dashboard counts.			

08

STAGE 08

COOPERATIVE BANKING REGULATION

COOPERATIVE BANKING REGULATION

UNION POLICY/ALLOCATED BUSINESS.

MSCS STATUTORY ADMINISTRATION.

STATE REGISTRAR

STATE-LAW ADMINISTRATION.

STATUTORY DEVELOPMENT FINANCE.

NCUI/REPRESENTATIVE BODY

ADVOCACY, EDUCATION AND COORDINATION.

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
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COOPERATIVE SOCIETIES • TILE 3/5 • same master rows 4445-7679 of 12124 • continues below

ELECTION AUTHORITY AND OMBUDSMAN PUBLISH CURRENT OFFICIAL PROCESSES.

USE DATED OFFICIAL DATA; DO NOT FREEZE DASHBOARD COUNTS.

MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.

CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.

CRCs INSTITUTIONS

Election Authority and Ombudsman publish current official processes.

CONSTITUTIONAL BASIS / ARTICLE

- MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.
- CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.

POWER / PROCEDURE

- CRCs INSTITUTIONS
- Election Authority and Ombudsman publish current official processes.

CHECK / LIMIT

- Use dated official data; do not freeze dashboard counts.
- MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.

FEDERAL / RIGHTS IMPACT

- CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.
- CRCs INSTITUTIONS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Use dated official data; do not freeze dashboard counts.

08

STAGE 08

COOPERATIVE BANKING REGULATION

COOPERATIVE BANKING REGULATION

UNION POLICY/ALLOCATED BUSINESS.

MSCS STATUTORY ADMINISTRATION.

STATE REGISTRAR

STATE-LAW ADMINISTRATION.

STATUTORY DEVELOPMENT FINANCE.

NCUI/REPRESENTATIVE BODY

ADVOCACY, EDUCATION AND COORDINATION.

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
Ministry → Union policy/allocated business.	NCUI/representative body → advocacy, education and coordination.	PACS boundary must not be erased.	collective input/procurement.
CRCs → MSCS statutory administration.	Operating cooperative → member-owned enterprise, not regulator.	EXAMPLES dairy pooling	TRAP credit, dairy and agricultural cooperatives do not share one prudential regulator.
State Registrar → State-law administration.	BANKING OVERLAY incorporation/governance law + Banking Regulation Act/RBI	credit access	
NCDC → statutory development finance.	NABARD supervision for specified rural cooperative banks	agricultural marketing	

CONSTITUTIONAL BASIS / ARTICLE

- Ministry → Union policy/allocated business.
- CRCs → MSCS statutory administration.
- State Registrar → State-law administration.
- NCDC → statutory development finance.

POWER / PROCEDURE

- NCUI/representative body → advocacy, education and coordination.
- Operating cooperative → member-owned enterprise, not regulator.
- BANKING OVERLAY incorporation/governance law + Banking Regulation Act/RBI
- NABARD supervision for specified rural cooperative banks

CHECK / LIMIT

- PACS boundary must not be erased.
- EXAMPLES dairy pooling
- credit access
- agricultural marketing

FEDERAL / RIGHTS IMPACT

- collective input/procurement.
- TRAP credit, dairy and agricultural cooperatives do not share one prudential regulator.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP credit, dairy and agricultural cooperatives do not share one prudential regulator.

09

STAGE 09

ARTICLE 12, ARTICLE 226 AND RTI TESTS

ARTICLE 12, ARTICLE 226 AND RTI TESTS

ARTICLE 12 INSTRUMENTALITY/CONTROL TEST; REGISTRATION OR AID ALONE IS

ARTICLE 226 WRIT MAY FOLLOW A PUBLIC DUTY EVEN

RTI SECTION 2(H) CONTROL OR SUBSTANTIAL-FINANCE TEST IS SEPARATE.

THALAPPALAM SERVICE COOPERATIVE BANK (2013) SUBSTANTIAL FINANCE/CONTROL REQUIRES EVIDENCE

ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.

ARTICLE 226 writ may follow a public duty even without Article 12 status.

RTI section 2(h) control or substantial-finance test is separate.

Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.
- ARTICLE 226 writ may follow a public duty even without Article 12 status.

POWER / PROCEDURE

- RTI section 2(h) control or substantial-finance test is separate.
- Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

CHECK / LIMIT

- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.
- ARTICLE 226 writ may follow a public duty even without Article 12 status.

FEDERAL / RIGHTS IMPACT

- RTI section 2(h) control or substantial-finance test is separate.
- Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

10

STAGE 10

GOVERNANCE FAILURES AND REFORM SEQUENCE

GOVERNANCE FAILURES AND REFORM SEQUENCE

THALAPPALAM SERVICE COOPERATIVE BANK (2013) REGISTRATION AND ORDINARY REGISTRAR

THREE DIFFERENT TESTS

ARTICLE 12 STATE

ARTICLE 226 PUBLIC DUTY

RTI SECTION 2(H) PUBLIC AUTHORITY.

FAILURE CHAIN POLITICAL CAPTURE

DELAYED ELECTIONS

Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI

THREE DIFFERENT TESTS

Article 12 State

Article 226 public duty

RTI section 2(h) public authority.

CONSTITUTIONAL BASIS / ARTICLE

POWER / PROCEDURE

CHECK / LIMIT

FEDERAL / RIGHTS IMPACT

COOPERATIVE SOCIETIES • TILE 4/5 • same master rows 6668-9902 of 12124 • continues below

ARTICLE 226 writ may follow a public duty even without Article 12 status.

RTI section 2(h) control or substantial-finance test is separate.

Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient. - ARTICLE 226 writ may follow a public duty even without Article 12 status.	- RTI section 2(h) control or substantial-finance test is separate. - Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.	- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient. - ARTICLE 226 writ may follow a public duty even without Article 12 status.	- RTI section 2(h) control or substantial-finance test is separate. - Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

10

STAGE 10

GOVERNANCE FAILURES AND REFORM SEQUENCE

GOVERNANCE FAILURES AND REFORM SEQUENCE

THALAPPALAM SERVICE COOPERATIVE BANK (2013) REGISTRATION AND ORDINARY REGISTRAR

THREE DIFFERENT TESTS

ARTICLE 12 STATE

ARTICLE 226 PUBLIC DUTY

RTI SECTION 2(H) PUBLIC AUTHORITY.

FAILURE CHAIN POLITICAL CAPTURE

DELAYED ELECTIONS

Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI

THREE DIFFERENT TESTS

Article 12 State

Article 226 public duty

RTI section 2(h) public authority.

CONSTITUTIONAL BASIS / ARTICLE - Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI public authority. - THREE DIFFERENT TESTS - Article 12 State	POWER / PROCEDURE - Article 226 public duty - RTI section 2(h) public authority. - FAILURE CHAIN political capture → delayed elections → weak audit → connected lending	CHECK / LIMIT - member apathy → losses → State rescue → reduced autonomy. - REFORM CHAIN timely elections + fit expertise + independent audit + member information - digital but inclusive records + regulator coordination + proportionate intervention.	FEDERAL / RIGHTS IMPACT VERDICT autonomy without accountability permits capture; control without autonomy kills cooperation.
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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT autonomy without accountability permits capture; control without autonomy kills cooperation.

11

STAGE 11

UPSC TRAPS, PYQS AND ANSWER SYNTHESIS

UPSC TRAPS, PYQS AND ANSWER SYNTHESIS

PRELIMS FIREWALL

PART IXB NOT UNIFORM FOR ALL STATE COOPERATIVES

ARTICLE 43B IS DPSP RIGHT TO FORM

RIGHT TO STATE AID

ENTRY 32

ENTRY 44

EVERY GOVERNANCE FUNCTION SCHEDULED CONSTITUTIONAL TEXT

PRELIMS FIREWALL

Part IXB not uniform for all State cooperatives

Article 43B is DPSP right to form != right to State aid

Entry 32 != Entry 44

Ministry != Registrar

CONSTITUTIONAL BASIS / ARTICLE - PRELIMS FIREWALL - Part IXB not uniform for all State cooperatives - Article 43B is DPSP right to form != right to State aid - Entry 32 != Entry 44	POWER / PROCEDURE - Ministry != Registrar - RBI != every governance function scheduled constitutional text != enforceable State-field command after 2021. - ADJACENT VERIFIED ROUTES 2020 DCCB	CHECK / LIMIT 2021 UCB 2023 Small Farmer Large Field. - They remain Economy/agriculture routes, not invented direct Polity PYQs. - MAINS SPINE identity/principles → federal competence → 97th Amendment	FEDERAL / RIGHTS IMPACT - Union of India v. Rajendra N. Shah (2021) → State/MSCS regimes → 2023 accountability - banking coordination → member-centric professionalisation. - CONCLUSION valid reform is cooperative in both enterprise form and federal method.
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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONCLUSION valid reform is cooperative in both enterprise form and federal method.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

KEY FEATURES OF PART IX-B CAUTION

EXAM-RELEVANT DETAIL

UPSC TRAPS

CA HOOKS (OFFICIAL/COURT-VERIFIED)

MAINS ANGLES

PARLIAMENT LEGISLATES FOR MULTI-STATE CO-OPERATIVES; STATE LEGISLATURES FOR OTHER

BOARD MEMBERS MAX 21 ; FIXED 5-YEAR TERM FOR

OPTIONAL DOCTRINE / CASE

Key features of Part IX-B CAUTION: (exam-relevant detail)

UPSC Traps

CA hooks (official/court-verified)

Mains angles

ADVANCED LIMIT

Parliament legislates for multi-state co-operatives; State Legislatures for other co-operatives.

Board members max 21 ; fixed 5-year term for board & office-bearers.

Reservation — one SC/ST and two women seats where the society's individual

Audit within six months

COMPARATIVE NUANCE

supersession ordinarily cannot exceed six months, while a cooperative carrying on banking business has the separate constitutional ceiling.

No supersession applies under the Part IXB text where there is no government shareholding, loan, financial assistance or guarantee.

Members' right to information about the society.

BUT Part IX-B survives for MULTI-STATE co-operative societies (and UTs) — the Court applied the

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.